

ORIGINAL

Before the  
**FEDERAL MARITIME COMMISSION**  
Washington, DC 20573

FILED

DEC 15 2017

Petition P5-17

Federal Maritime Commission  
Office of the Secretary

**PETITION OF OCEAN NETWORK EXPRESS PTE. LTD.  
FOR AN EXEMPTION FROM 46 C.F.R. § 530.10**

1. Pursuant to Rule 94 of the Commission's Rules of Practice and Procedure, 46 C.F.R. §502.94, Ocean Network Express Pte. Ltd. ("ONE") hereby petitions the Commission for relief from the provisions of 46 C.F.R. §530.10 relating to the filing of individual service contract amendments.
2. ONE is the Singapore entity that will acquire the assets of the container shipping divisions of Kawasaki Kisen Kaisha, Ltd. ("K Line"); Mitsui O.S.K. Lines, Ltd. ("MOL"); and Nippon Yusen Kaisha ("NYK") on or about April 1, 2018, at which point ONE will operate as an ocean common carrier.
3. Among the assets being transferred to ONE are the existing service contracts of K Line, MOL and NYK. There are approximately 4,800 such service contracts, which will be assigned to ONE in accordance with their terms and applicable law.
4. Assignment of K Line, MOL and NYK service contracts to ONE, even when performed in accordance with the terms of those contracts and applicable contract law, would require the filing with the FMC of an amendment to each contract.
5. It would be an undue burden on ONE and the shipper parties to prepare and file an

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individual amendment for each of these service contracts. Therefore, ONE respectfully requests that the Commission permit a universal notice to the Commission and to the service contract parties in lieu of filing an amendment for each contract. See 46 C.F.R. § 530.10(b). In addition to any notice that the Commission may require ONE to file in the SERVCON system pursuant to this Petition, a notice in substantially the following form would be sent electronically to each shipper signatory to a service contract with K Line, MOL, or NYK:

Effective April 1, 2018, the assets of the container shipping division of [insert name of K Line, MOL or NYK], including your service contract, will be transferred to Ocean Network Express Pte. Ltd. ("ONE"), which will perform the container transportation formerly performed by [insert name of relevant carrier]. The terms of your service contract will remain unchanged, and you will receive the same service you presently receive. We have submitted a petition to the FMC with respect to the service contract amendment filing requirements that would otherwise be applicable to this assignment. To the extent your service contract permits assignment by notice, please consider this to be that notice. If your service contract requires that you consent to this assignment or that you agree to an amendment of the contract, or prohibits assignment, we ask you to advise us by reply e-mail no later than March 1, 2018 if you require a formal consent or amendment to be prepared, or if you do not waive the prohibition against assignment. If we have not heard from you by then or you continue to tender cargo under the contract on or after April 1, 2018, we will understand you agreed to the assignment and do not require a formal consent or amendment, or that you have waived the prohibition against assignment. Of course, if you have any questions, please let us know.

6. The existing K Line, MOL and NYK tariffs will be terminated with a notice that will cross-reference the new ONE tariffs, which will govern the assigned service contracts, thereby eliminating the need to amend the service contracts to identify the ONE tariffs as the governing tariffs. This cross-reference is the subject of a separate request for special permission filed in accordance with 46 C.F.R. §520.14.
7. The standard for granting an exemption is that set out in 46 U.S.C. § 40103(a), which is that "the exemption will not result in a substantial reduction in competition or be detrimental to commerce." As the Commission stated in granting a virtually identical exemption

requested by Crowley (Docket P4-15), because a service contract amendment of the type described herein is "purely administrative," it is "unlikely that [such an] amendment will result in a substantial reduction in competition or be detrimental to commerce." The Commission has also granted other, similar petitions on the same grounds. See, e.g., Petition P1-09 and Petition P1-16.

8. The relief sought in this petition is, like that granted in the petitions cited above, purely administrative in nature. It merely streamlines the regulatory processes involved in transferring of large numbers of service contracts via uniform notice and electronic notification (rather than by individual amendment). The processes that would be followed if this petition is granted have been found in the past to protect shippers, and would do so again here. ONE respectfully submits that the notice in paragraph 5 (and any consent required by a shipper), as well as the tariff notices addressed in the request for special permission, fully inform and protect all service contract signatories, as well as the Commission. We further submit that all regulatory concerns are satisfied and that this petition, like the petitions for similar relief previously granted by the Commission, should be granted.

Respectfully submitted,



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